U.S. EQUITIES LIQUIDITY WATCH

Cross-Asset Liquidity, Leverage & Positioning Monitor

Joshua G. Smith | October 11, 2026, | *For internal / informational use only — not investment advice*

BOTTOM LINE

I am constructive on U.S equities especially the build out of artificial intelligence, plenty of liquidity swimming in the system, businesses, consumers, financial institutions and real estate. Near-term data is unlikely to turn decisively supportive until Q3 earnings season is underway. A near-term de-escalation with Iran looks unlikely, but current headlines, dealer positioning and market structure could keep a lid on realised volatility in the meantime.

Leverage Watch

Supporting a constructive equity market view: OFR equity fund borrowing reflecting prime balance at hedge funds show increased borrowings at 40% y/y topping $1.8trln (Figure 1). FINRA margin debt reflecting retail, family offices, wealth management is also growing 40%, twice the rate of the S&P500 (Figure 2), and large banks continue to expand lending to asset managers, securities based and collateralised-financing clients (Figure 3). Historically, similar periods have coincided with strong market performance rather than immediate weakness. Given equity fund borrowing and margin balances combined has grown: $1.7trln from Q4-23 to Q1-26 that is Apples revenue from Fy-22 to Fy-25. Biggest risk is; war between Iran and America breaks out again, fear will re-emerge and forced liquidations will occur.

Retail Brokerage Metrics

Retail participation remains historically elevated, with daily active trades growing rapidly (Figure 4). There are early signs of moderation: 10% pullback from May to August, following a significant expansion between 2024 and mid-2026. Part of the recent slowdown reflects a shift in speculative activity toward digital assets and gambling, rather than a change in the underlying trader base: appetite for high-convexity, short-duration outcomes remains intact.

Major Capital Flows

Foreign Flows

continue to show a strong preference for U.S. equities, despite elevated Treasury yields and expectations that trade uncertainty would drive a rotation into fixed income (Figure 5). Since mid-2024, foreign bond purchases have stalled and subsequently weakened, while equity inflows have accelerated to new cycle highs. Moreover, cross-border lending to U.S. financial institutions is also adding liquidity, setting a bullish tone for equity markets (Figure 6).

ETF & Mutual Fund Flows

Mutual funds continue to see persistent net outflows on the equity side, while flows remain skewed toward high-quality fixed income products — offsetting weaker international demand for bonds.

Conversely domestic ETF equity issuance remains exceptionally strong, with cumulative equity flows reaching approximately $1 trillion (Figure 7). One of the key themes of 2026 has been a modest resurgence in active fund flows, although passive vehicles continue to dominate overall asset gathering.

Households and Bank AUM

Household and bank AUM balances are growing faster than the underlying market, suggesting continued inflows into risk assets and an ongoing willingness among investors to maintain elevated equity exposure (Figure 8).

One issue stands out in BlackRock's flow data specifically: equities pulled in the largest dollar flows of any asset class ($439,960mn, (Figure 9), but only 5.2% of AUM - below fixed income's 7.9%, despite fixed income's smaller dollar total.

Big picture recent ETF flows were exceptionally strong exiting September and sentiment has improved dramatically, with investors removing their bearish stance, as equity indices continue to march on to ATH.

Market Internals & Positioning

While index levels remain near highs, underlying participation has deteriorated. Share volume across U.S. equities have been recording at or below average for over 2 months now (Figure 10), indicating reduced conviction among long-term buyers. Result of this has been ~52% of the S&P500 members are trading below their 200DMA.

However, Option volumes surged between April and June, and continued activity has produced positive dealer gamma, stabilising markets by suppressing volatility. This has encouraged volatility-selling strategies and systematic positioning.

The volatility backdrop remains supportive for risk assets. The VIX continues to trade at subdued levels despite elevated valuations and geopolitical uncertainty.

Dealer exposure resets if the SPX trades below 7,600; the only likely catalyst for that near-term is an escalation in Middle East tensions. Investors

Path Forward

Tactical View

The market is shifting from accelerating liquidity to moderation. This raises the odds of a deeper pullback, but a catalyst is still required. On the geopolitical front, near-term de-escalation with Iran looks unlikely. The terms of the memorandum of understanding are already set, and the U.S. is unlikely to move off them. Continued economic sanctions and a naval blockade appear strategically preferable to Washington. That leaves the next move toward military escalation in Iran's hands. The biggest near-term risk remains something kicking off with Iran, most likely ahead of the Israeli election.

I remain bullish on equities heading into Q3 earnings season. Positioning preference:

I would not be betting on the big spenders (the hyperscale's). Instead, I favour the companies focused on the build-out — the primary beneficiaries of the AI infrastructure wave. I expect these names to have a "mega moment. "Particularly attractive are mid-cap stocks solving key AI bottlenecks: power delivery from grid to data centre, liquid cooling for AI racks, and mechanical integration. These firms are direct beneficiaries of the mega-caps' rising capex, with solid growth forecasts stretching through the decade. Key caveat – timing:

I would grow more cautious approaching December, when production-capacity constraints are expected to start biting. South Korea is likely to feel the pressure first, ahead of Taiwan. Risks within the AI ecosystem:

Free cash flow generation across much of the AI complex remains limited, and financing conditions are no longer improving at the same pace. Credit facilities to AI-related structures and SPVs continue to expand, but the rate of growth has slowed (Figure 11). CDS demand is rising — NVDA CDS costs doubled between June and August, while AVGO's quadrupled. Absolute spread levels are still low, but the direction of travel suggests investors are starting to demand more compensation for credit risk even as equity valuations stay elevated.

For this reason, I favour mid-cap stocks solving AI bottlenecks — power delivery from grid to data centre, liquid cooling for AI racks, and mechanical integration — which are benefiting from mega-caps' increased capex spend, with forecasts showing healthy growth through the decade.

Finally, Housing is a separate, unrelated thread, but worth flagging: Mortgage and MBS lending growth continues to moderate, with mortgage and MBS balances at Citi, Wells Fargo, Bank of America and JPMorgan declining on a year-over-year basis (Figure 12). That said, the data does not yet suggest systemic stress. Foreclosure activity has risen since 2022 but remains well below long-term averages, while allowances for credit losses and charge-offs remain contained. As a result, I view housing as a source of slowing liquidity rather than an immediate credit concern.

Appendix — Exhibits

Figure 1 — *OFR equity fund borrowings YoY vs. S&P 500*

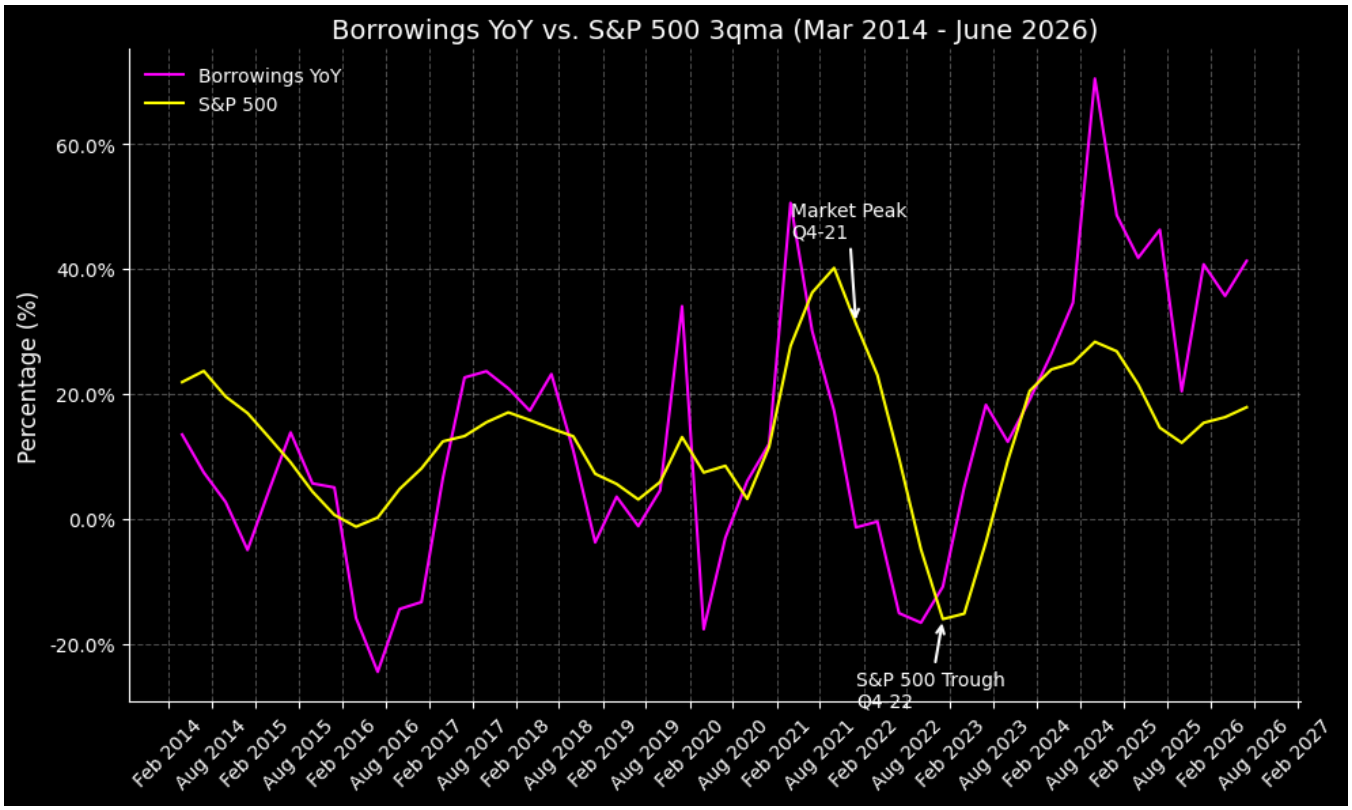


Figure 2 — *FINRA margin debt YoY vs. S&P 500*

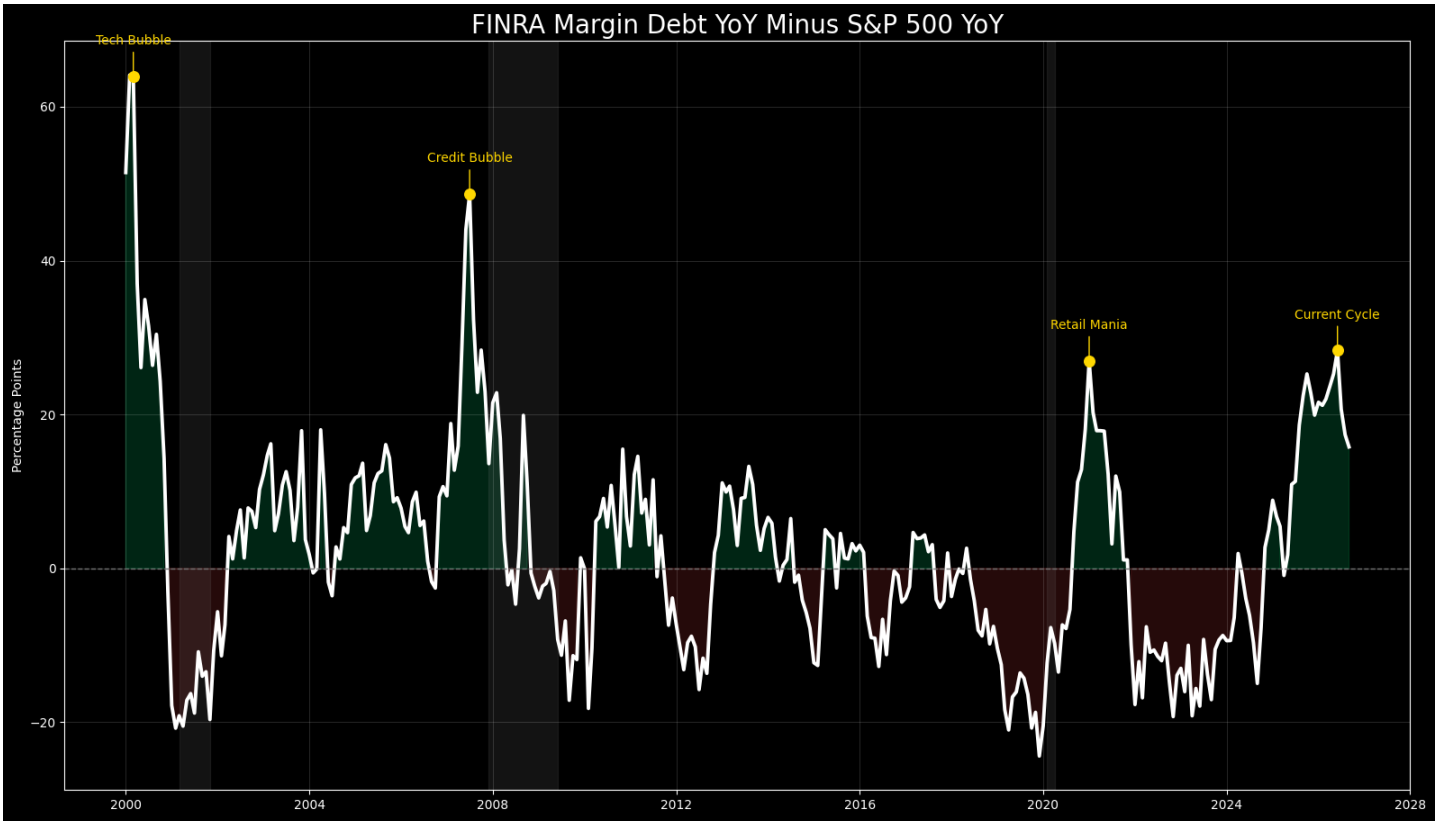


Figure 3 — *JPM credit lines / bank lending to asset managers*

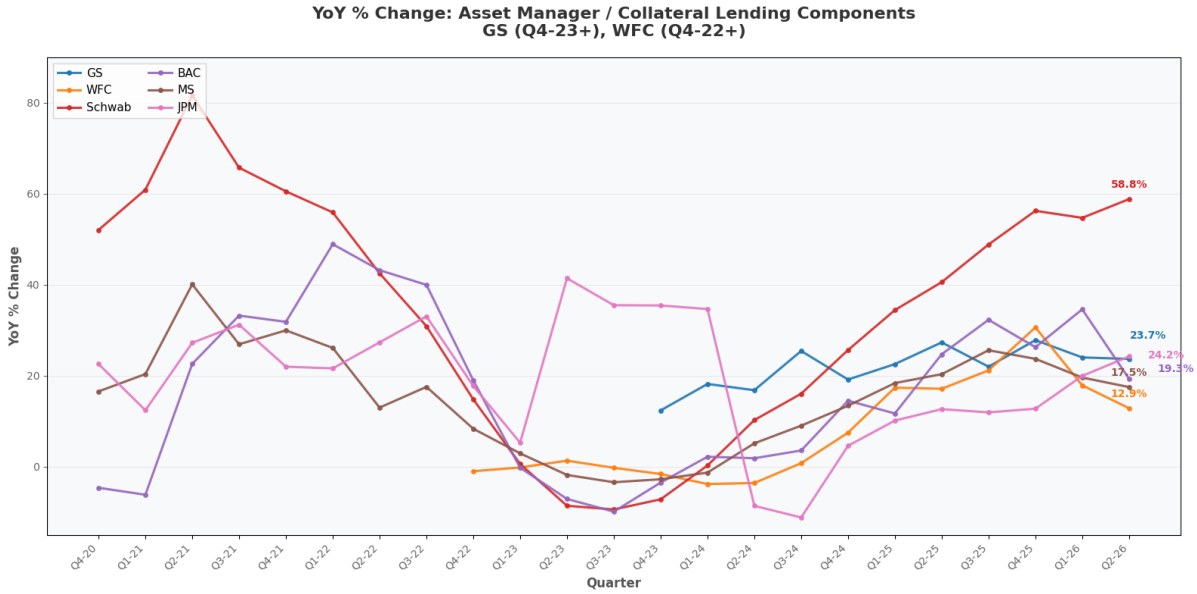


Figure 4 — *Retail trading activity growth — DARTs vs. DATS*

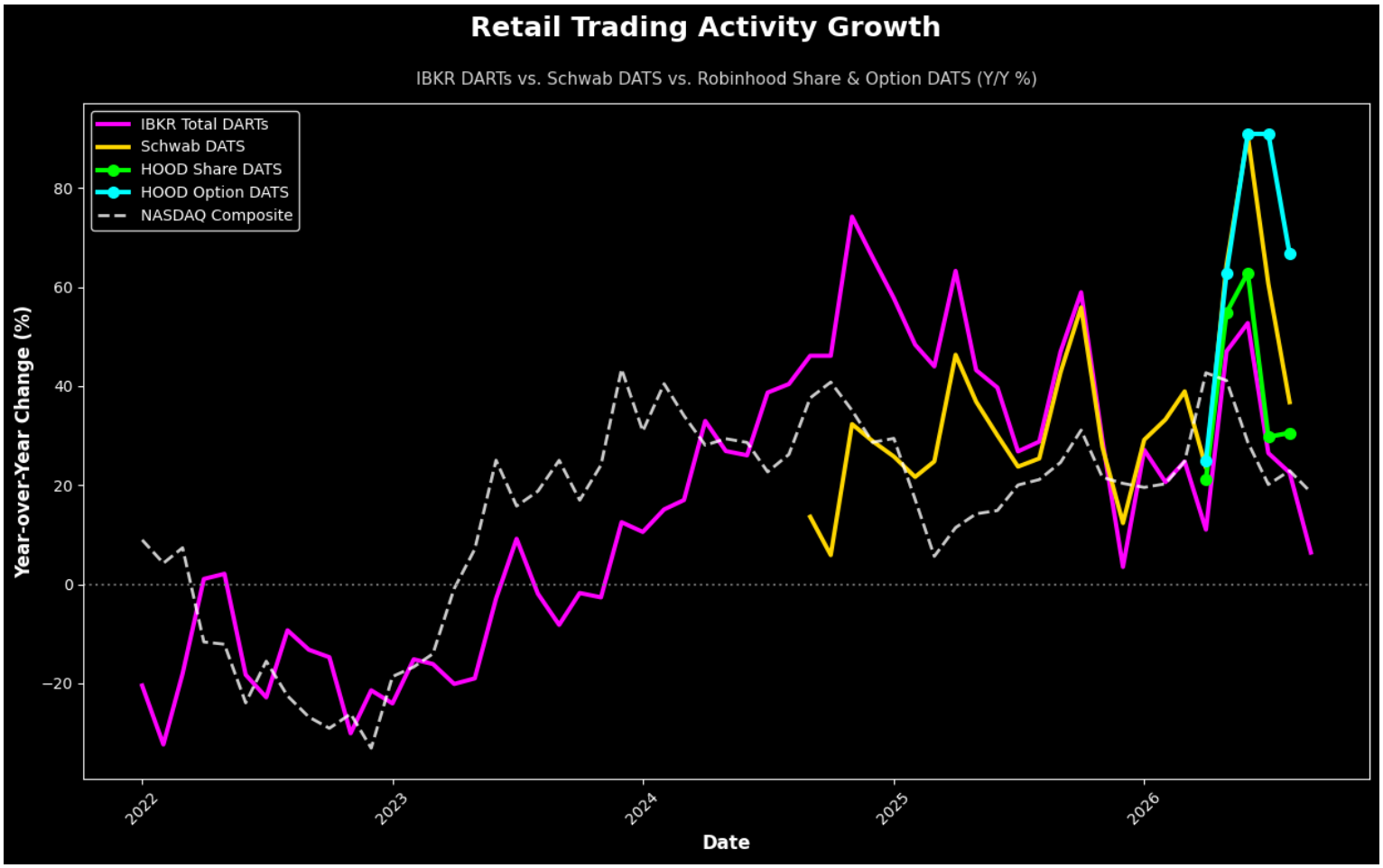


Figure 5 — *Foreign investor preference — U.S. equity vs. bond flows*

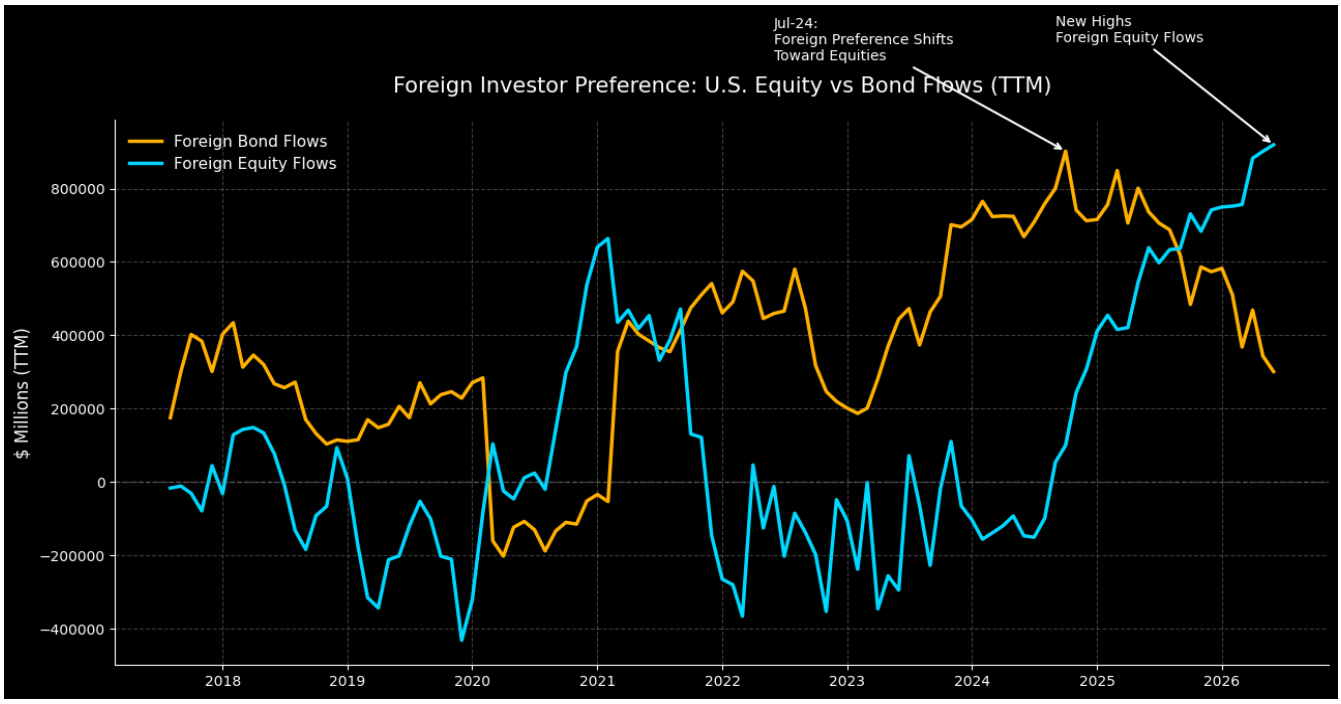


Figure 6 — *Cross-border bank lending — Germany and Japan*

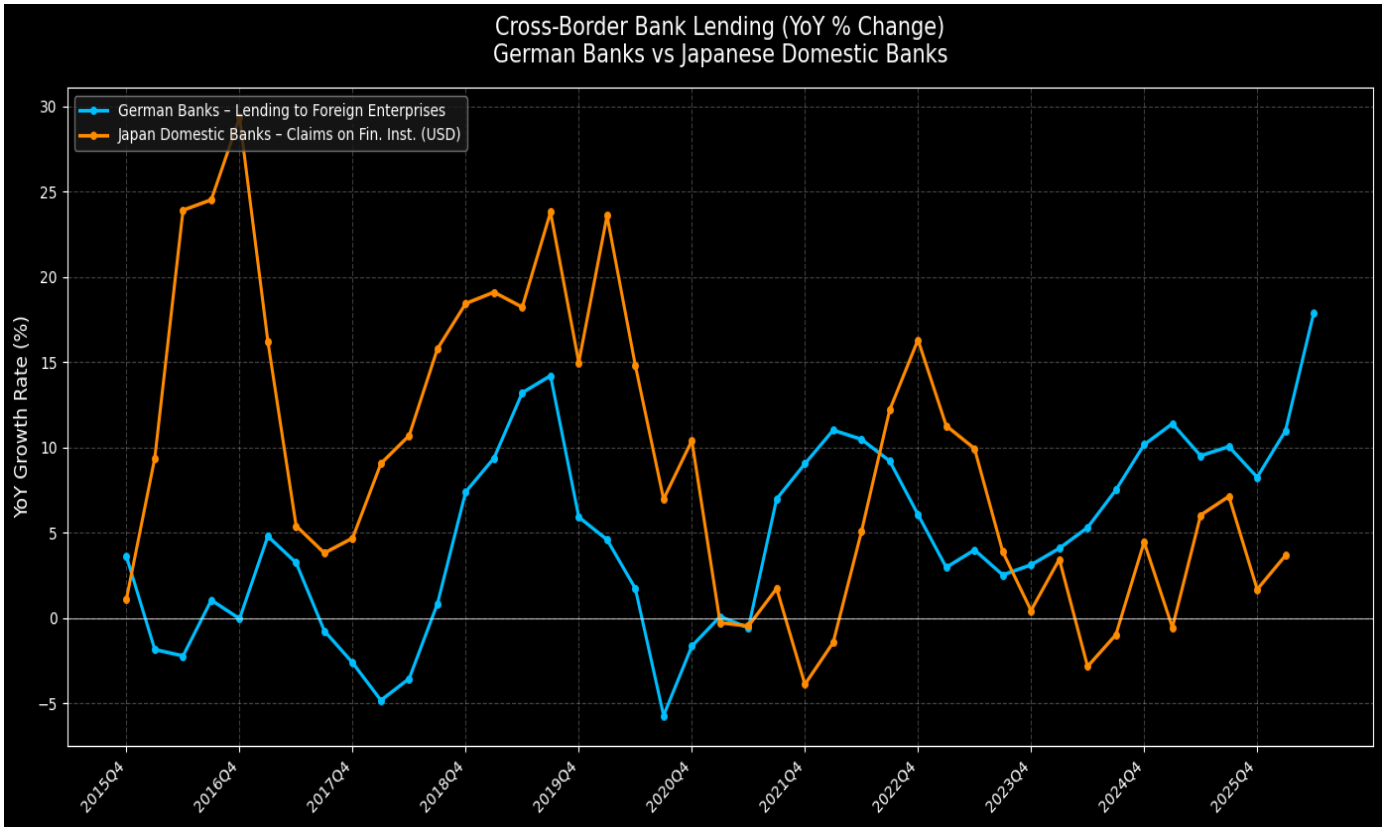


Figure 7 — *ICI TTM net flows — bonds vs. domestic equity ETFs*

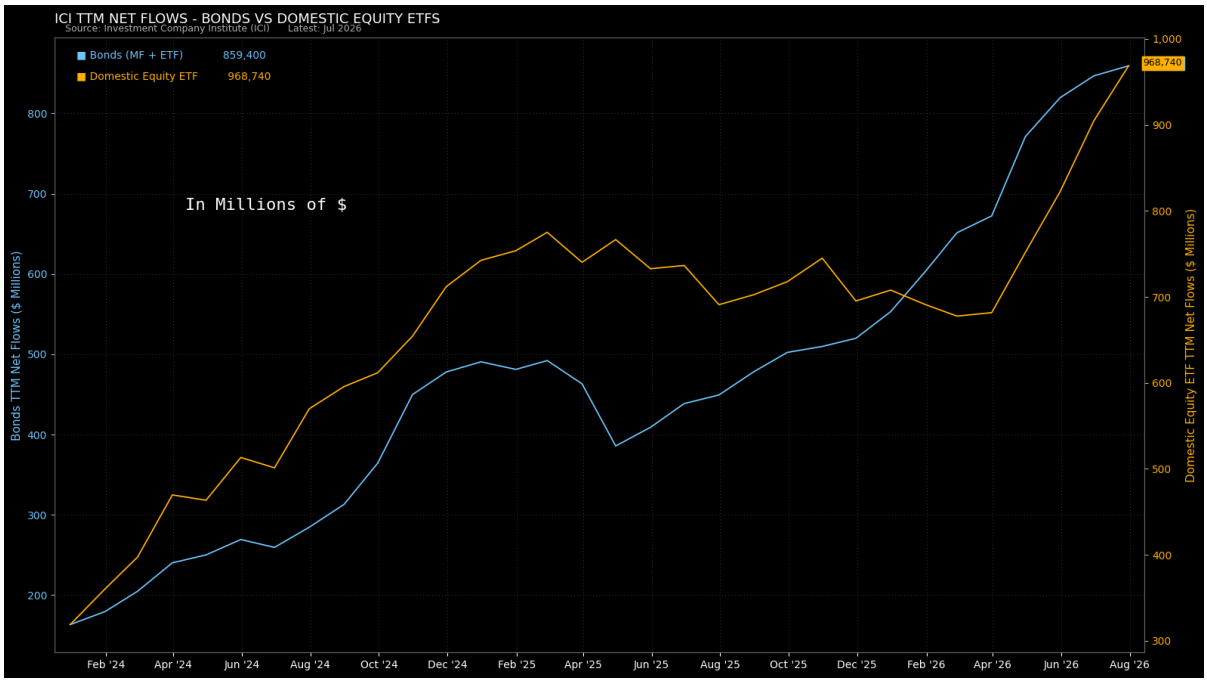


Figure 8 — *TTM household equity change vs. AAII bullish sentiment vs. SPX spread*

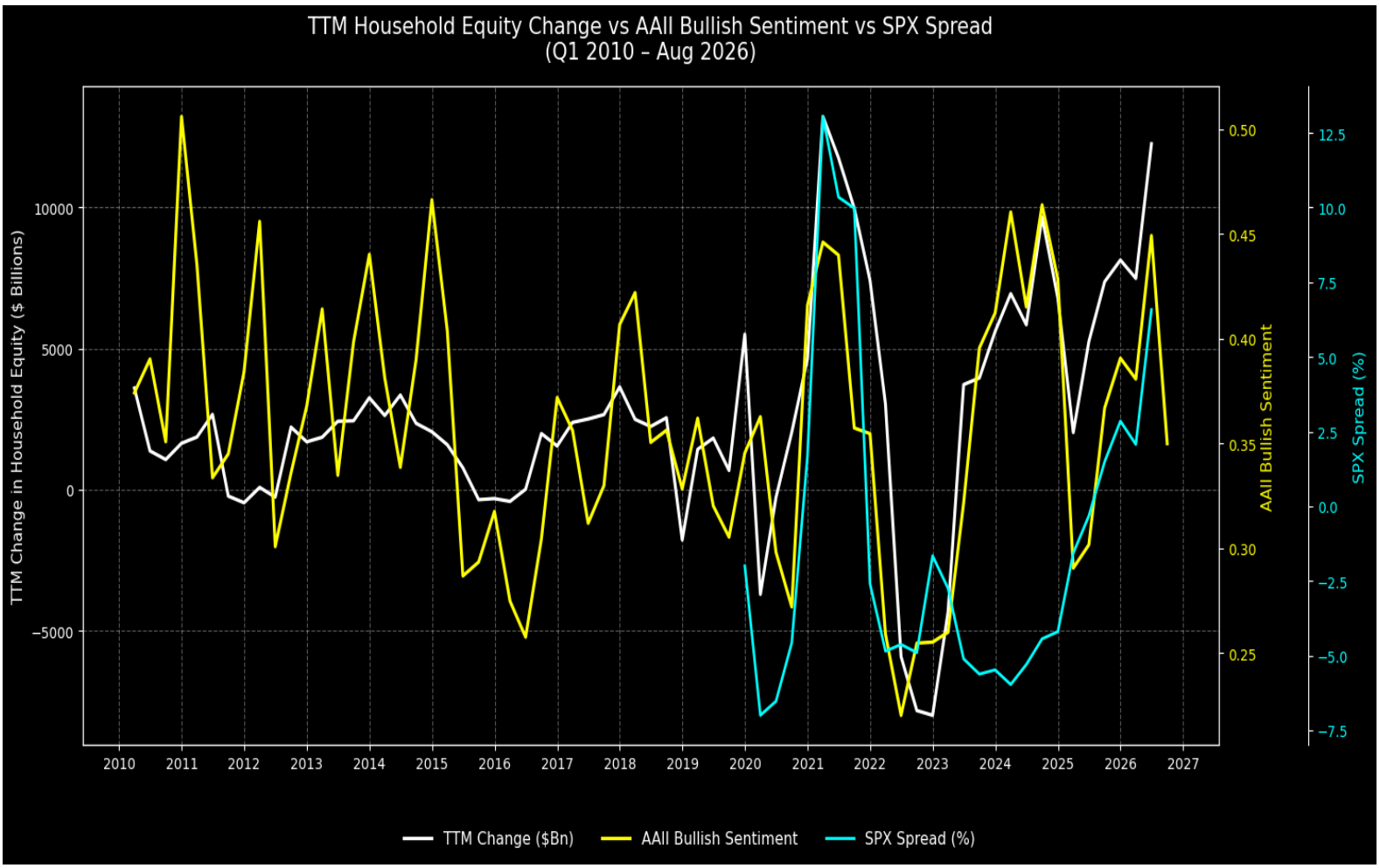


Figure 9 — *BlackRock flows — 4-quarter annual rate & % of AUM*

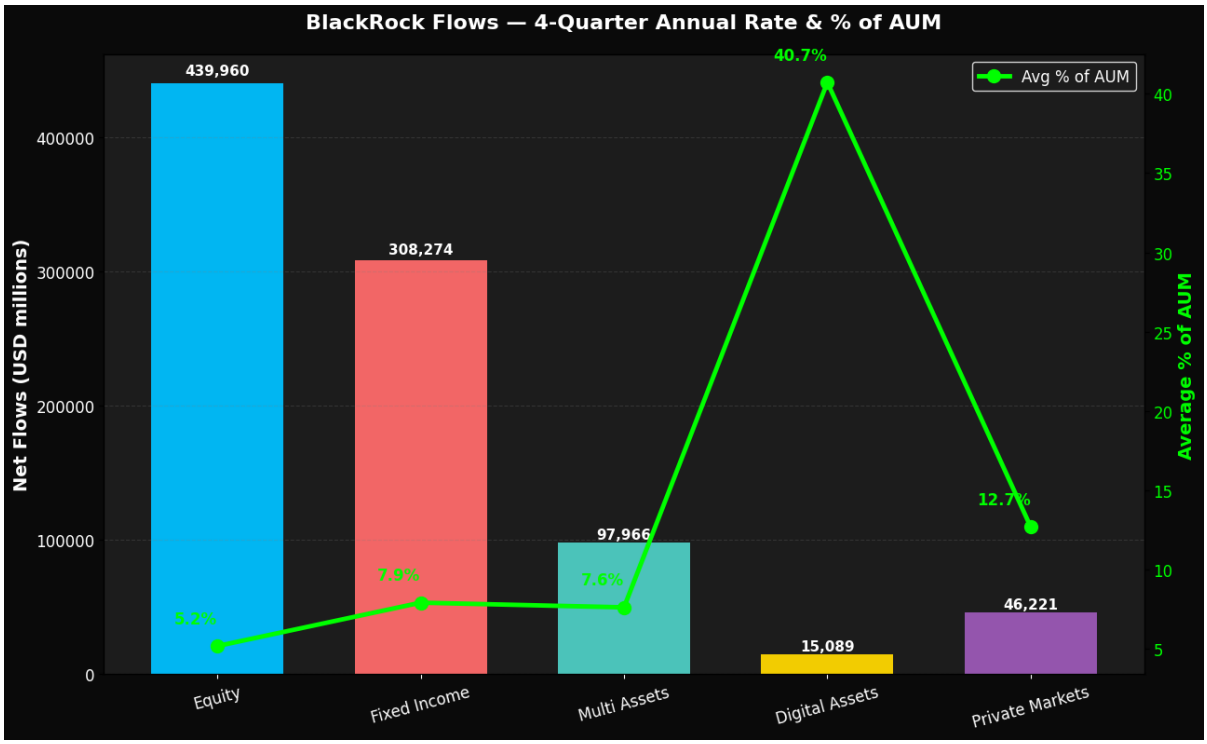


Figure 10 — *Options & futures vs. shares, 2-week MA (Z-score)*

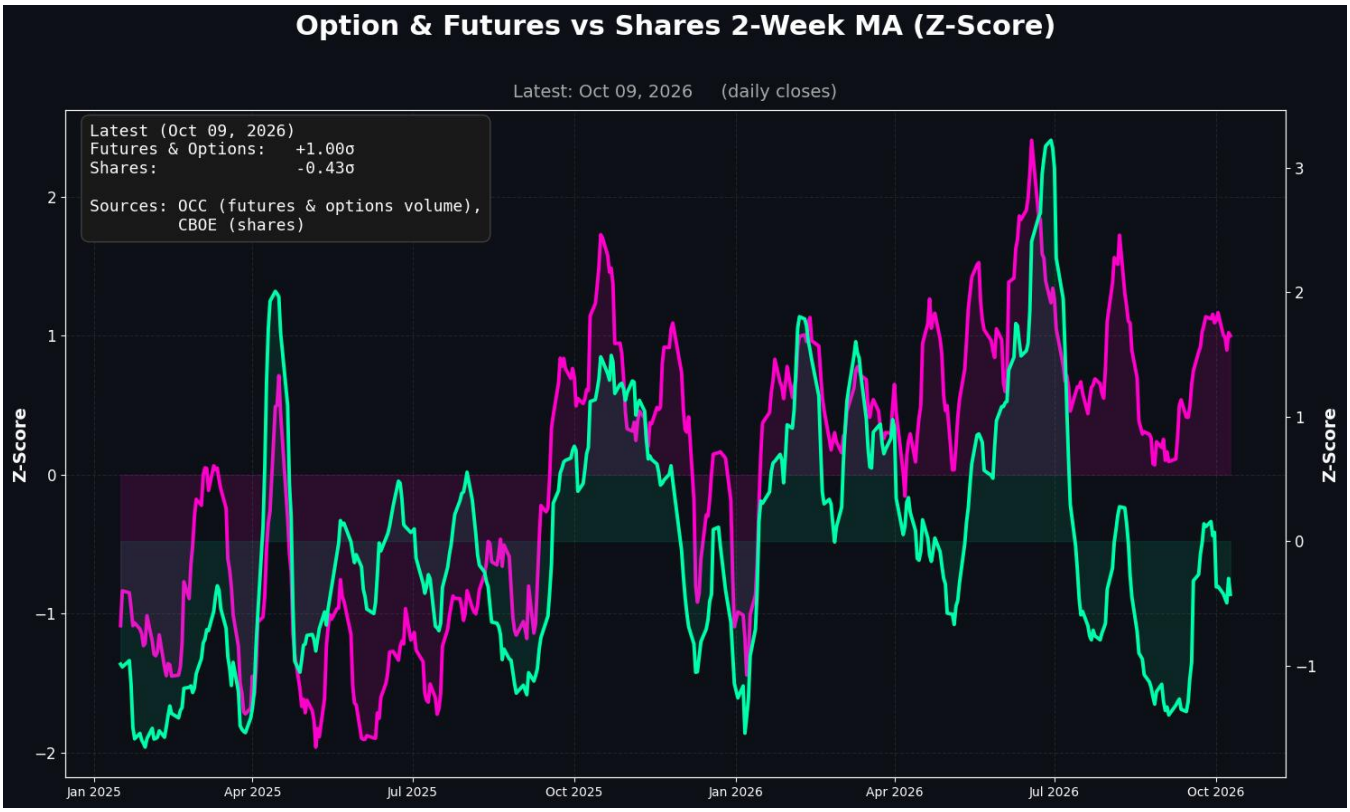
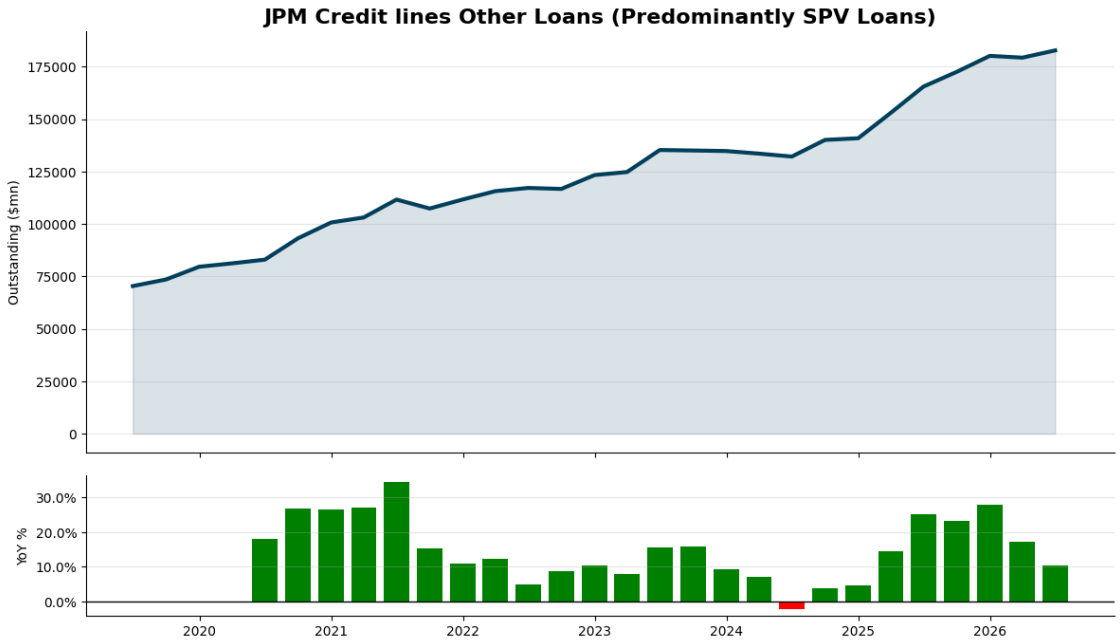


Figure 11 — *JPM credit lines, other loans (predominantly SPV loans)*



Source: Company filings, quarterly data.

Figure 12 — *U.S. bank mortgage and MBS balances, year-over-year growth*

